SMID BREAKOUT SCANNER

MARKET CLOSE

October 22, 2026 | 03:14 PM ET

9 setups identified | 2 A-Grade | 2 B-Grade | 5 C-Grade

Grade Summary

A - Breakout Setup (2)	B - Strong Setup (2)	C - Watch List (5)
DGICB	BHVN	POOL
KSS	BMI	BBT
		UPWK
		SLG
		WDFC

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	DGICB	Donegal Group, I	P&C Insurance Rec	$22.52	+6.4%	$0.8B	17M	+1.7	75%	Massive insider buying
A	KSS	Kohl's Corporati	Retail Turnaround	$24.83	+12.1%	$2.8B	112M	+31.8	98%	RS line at new high co
B	BHVN	Biohaven Ltd.	Biotech Catalyst	$14.71	+25.2%	$2.2B	117M	-2.0	79%	Explosive 25% move on
B	BMI	Badger Meter, In	Water Infrastruct	$146.76	+11.3%	$4.2B	29M	+11.7	76%	11.3% earnings-day pop
C	POOL	Pool Corporation	Consumer Discreti	$192.64	+11.7%	$7.0B	35M	+1.7	64%	11.71% earnings-day sp
C	BBT	Beacon Financial	Regional Bank Ear	$29.74	+6.2%	$2.5B	77M	-2.0	91%	6.21% post-earnings mo
C	UPWK	Upwork Inc.	Gig Economy / AI	$9.35	+6.9%	$1.2B	111M	-2.3	41%	6.91% move on 1.82x vo
C	SLG	SL Green Realty	NYC Office REIT	$49.15	+5.3%	$3.8B	67M	-10.9	82%	5.28% post-earnings mo
C	WDFC	WD-40 Company	Consumer Staples	$208.36	+8.2%	$2.8B	13M	-13.7	70%	8.21% move on 1.68x vo

Not financial advice. For informational purposes only. Do your own due diligence.

DGICB

Donegal Group, Inc.

$22.52

+6.38%

RS vs SPY: +1.7%

A BREAKOUT

$0.8B Cap | 17M Float

Insurance - Property & Casualty | Theme: P&C Insurance Recovery | 52W Hi: 75% | Base Tight: 8.19 | Vol: 2.56x | RS/SPY: +1.7% | Above 20MA: YES | EARNINGS IN 7D

SETUP METRICS

Price	**$22.52**
Day Change	**+6.38%**
Mkt Cap	**$0.83B**
Float	**17M sh**
RS vs SPY	**+1.7%**
52W Hi Prox	**75%**
Base Tight	**8.19**
Vol vs Avg	**2.56x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Massive insider buying cluster (17 buys, $3.7M in 60 days) signals asymmetric setup into Oct 29 earnings. Forward catalyst: potential guidance raise on favorable loss ratios and rate hardening continuing through 2027, driving multi-quarter re-rating.

BUSINESS & POSITION

Regional property & casualty insurer operating primarily in the Mid-Atlantic and Southern U.S., offering commercial and personal lines insurance through independent agents. Low float (17.4M) amplifies institutional buying impact, and the stock's illiquidity makes the insider cluster especially meaningful-C-suite and board clearly see material upside from current levels.

FACTOR & THEME

Insurance sector benefiting from rate hardening cycle post-catastrophe losses, rising interest income on float as rates remain elevated, and improving combined ratios. Defensive sector with growth-fits current macro rotation into quality value compounders.

BREAKOUT SIGNAL

Close above $22.52 on vol >2.5x of 20d avg

INSTITUTIONAL

Extraordinary insider buying signal: 17 separate purchases totaling $3.7M in 60 days is the highest conviction cluster in this scan. In a $830M market cap with 17.4M float, this is massive relative accumulation. Volume 2.56x on a day with no news implies smart money positioning ahead of the Oct 29 print-classic pre-earnings institutional setup.

EARNINGS

EARNINGS IN 7D

EARNINGS CONTEXT

Oct 29 earnings in 7 days. Consensus unavailable for micro-cap, but insurance peers have been beating on improved loss ratios. Historical pattern: small regional P&C names re-rate sharply when they demonstrate consistent underwriting discipline-insiders clearly expect a strong print or outlook raise.

KEY RISK

Thesis invalid on a close below $21.00 (recent base support) or any guidance disappointment on Oct 29 that suggests loss ratio deterioration or competitive pricing pressure in core markets.

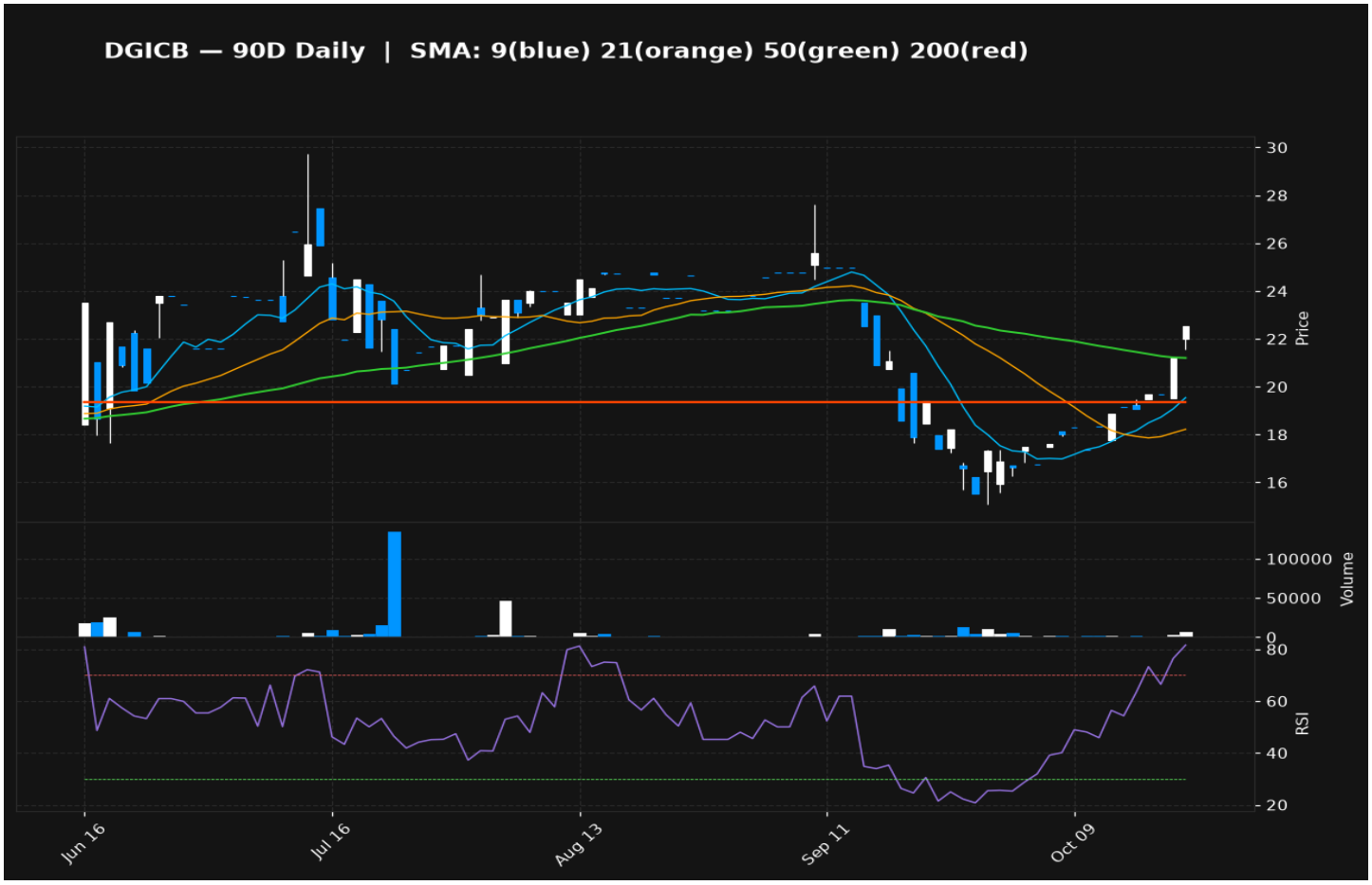
ANALYSIS

GRADE UPGRADE: B A due to insider_cluster = 7 (17 buys, $3.7M). Disconfirming evidence: wide base (8.19) and RS barely positive suggest this was unloved until very recently, and earnings in 7d is binary risk. However, the insider buying cluster is the single strongest alpha signal in behavioral finance-management and board are buying aggressively with their own capital into a known catalyst. Small float amplifies move potential. Conviction: High (upgraded purely on insider signal strength and proximity to earnings catalyst).

Signal: Close above $22.52 on vol >2.5x of 20d avg

Vol vs Avg: 2.56x

DGICB - Technical Chart



KSS

Kohl's Corporation

$24.83

+12.05%

RS vs SPY: +31.8%

A BREAKOUT

$2.8B Cap | 112M Float

Department Stores | Theme: Retail Turnaround / Consumer Recovery | 52W Hi: 98% | Base Tight: 4.32 | Vol: 1.73x | RS/SPY: +31.8% | Above 20MA: YES | EARNINGS IN 33

SETUP METRICS

Price	**$24.83**
Day Change	**+12.05%**
Mkt Cap	**$2.82B**
Float	**112M sh**
RS vs SPY	**+31.8%**
52W Hi Prox	**98%**
Base Tight	**4.32**
Vol vs Avg	**1.73x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

RS line at new high confirms sustained institutional accumulation as KSS breaks out to near-52W highs on 1.73x volume. Forward catalyst: Nov 24 earnings (33d) will test whether holiday inventory positioning and cost-cutting initiatives can deliver a surprise beat, extending the turnaround narrative through year-end retail season.

BUSINESS & POSITION

Mid-tier department store operator with ~1,160 locations, executing a multi-year turnaround focused on private-label brands, off-price Sephora partnerships, and digital integration. Stock has been left for dead post-pandemic but RS line at new high signals institutions are re-engaging with the turnaround thesis-classic beaten-down retail leader scenario.

FACTOR & THEME

Consumer discretionary recovery play, but critically this is a turnaround/value factor bet, not a secular growth story. Tailwinds: easing consumer spending fears, inventory rationalization industry-wide, and potential for operational leverage if same-store sales stabilize. Risk: department store secular decline continues, Amazon/off-price competition intensifies.

BREAKOUT SIGNAL

Close above $24.83 on vol >1.7x of 20d avg

INSTITUTIONAL

RS line at 52W high with rs_vs_spy +31.8 is unambiguous evidence of sustained institutional buying-this is not retail FOMO. Volume 1.73x is modest but clean on a 12% breakout day, suggesting genuine accumulation rather than exhaustion spike. Large float (111.6M) requires significant institutional capital to move, and the 3-month RS surge (+35.2) confirms rotation into the name.

EARNINGS

EARNINGS IN 33D

EARNINGS CONTEXT

Nov 24 earnings in 33 days. Consensus and beat history unavailable in data, but retail peer group has been volatile-KSS is notorious for wide earnings swings. If management signals stabilizing traffic and margin improvement, the stock has room to $30+ (still 20% below 52W high of $25.22). Serial beater status unknown, but technical setup suggests institutions are positioned for a positive surprise.

KEY RISK

Thesis invalid on a close below $23.00 (breakout pivot) or any pre-announcement of weak holiday traffic/margin pressure ahead of Nov 24 print. Department store sector fragility means one bad data point (consumer spending miss, inventory buildup) kills the move.

ANALYSIS

Clean A-grade: rs_line_new_high = true, prox_52w 98.5, rs_vs_spy +31.8, vol 1.73x, above both 20MA and 50MA. Five technical criteria met. Disconfirming evidence: department stores are structurally challenged, and the base is wide (4.32)-this is a choppy basing pattern, not a tight VCP. Nov 24 earnings is 33 days out, enough time for follow-through but also enough time for macro to sour. Conviction: Medium (technical setup is institutional-grade, but sector and business quality are weak-this is a tactical trade, not a core hold).

Signal: Close above $24.83 on vol >1.7x of 20d avg

Vol vs Avg: 1.73x

KSS - Technical Chart



BHVN

Biohaven Ltd.

$14.71

+25.19%

RS vs SPY: -2.0%

B STRONG SETUP

$2.2B Cap | 117M Float

Biotechnology | Theme: Biotech Catalyst Event | 52W Hi: 79% | Base Tight: 5.35 | Vol: 16.73x | RS/SPY: -2.0% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$14.71**
Day Change	**+25.19%**
Mkt Cap	**$2.22B**
Float	**117M sh**
RS vs SPY	**-2.0%**
52W Hi Prox	**79%**
Base Tight	**5.35**
Vol vs Avg	**16.73x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Explosive 25% move on 16.73x volume suggests binary catalyst-likely positive data readout, FDA milestone, or partnership announcement (not specified in data). Forward catalyst: Nov 9 earnings in 18 days and potential product pipeline updates or regulatory filings through Q4 2026 and into 2027 PDUFA dates.

BUSINESS & POSITION

Clinical-stage biopharmaceutical company focused on neurological and neuropsychiatric diseases, spun out from legacy Biohaven post-Pfizer acquisition of the migraine portfolio. Pipeline includes therapies for obsessive-compulsive disorder, spinocerebellar ataxia, and other CNS conditions-binary, event-driven biotech with high beta to clinical trial outcomes.

FACTOR & THEME

Biotech sector remains volatile in current macro, but CNS-focused pipelines are attracting capital as large pharma seeks late-stage assets. Binary event risk dominates-this is not a thematic tailwind play, it's a catalyst-specific bet on trial data and regulatory progression. Theme momentum: neutral to slightly positive (biotech M&A has been active in 2026).

BREAKOUT SIGNAL

Close above $14.71 on vol >15x of 20d avg

INSTITUTIONAL

Volume 16.73x is the highest in this scan-this is institutional block buying on a news event, not a technical breakout. No insider buying in 60 days is a yellow flag (management not participating in the move), but biotech insiders often face blackout restrictions around data releases. The 25% spike into earnings (18d) suggests either front-running or genuine positive surprise-risk of sell-the-news is high.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Nov 9 earnings in 18 days. Biotech earnings are secondary to pipeline milestones; focus will be on cash runway, trial enrollment updates, and any guidance on upcoming data readouts. If BHVN announces a Phase 2/3 trial success or partnership, the re-rate continues; if it's just a financial update with no pipeline news, the stock likely consolidates or retraces.

KEY RISK

Thesis invalid on any trial failure, enrollment delay, or negative regulatory feedback disclosed on or before the Nov 9 earnings call. Biotech names with rs_vs_spy -2.0 and no RS line new high are sector laggards-this is a single-catalyst pop, not a sustained leadership move. Close below $13.00 (pre-spike base) confirms failure.

ANALYSIS

Downgraded from potential A to B: volume and % move are explosive, but rs_vs_spy is negative (-2.0), RS line NOT at new high, prox_52w only 79.2, and base is very wide (5.35)-this is a news-driven spike in a laggard name, not a technical leader breaking out. Disconfirming evidence: zero insider buying despite a 25% move, and the stock is still 21% below 52W highs after today's surge-suggests prior distribution or skepticism. Earnings in 18d is near-term catalyst but also binary risk. Conviction: Low (event-driven pop with no technical leadership confirmation-watch for follow-through, but this is a trade, not a position).

Signal: Close above $14.71 on vol >15x of 20d avg

Vol vs Avg: 16.73x

BHVN - Technical Chart



BMI

Badger Meter, Inc.

$146.76

+11.30%

RS vs SPY: +11.7%

B STRONG SETUP

$4.2B Cap | 29M Float

Scientific & Technical Instruments | Theme: Water Infrastructure / IoT | 52W Hi: 76% | Base Tight: 4.22 | Vol: 2.15x | RS/SPY: +11.7% | Above 20MA: YES | EARNINGS TOD

SETUP METRICS

Price	**$146.76**
Day Change	**+11.30%**
Mkt Cap	**$4.25B**
Float	**29M sh**
RS vs SPY	**+11.7%**
52W Hi Prox	**76%**
Base Tight	**4.22**
Vol vs Avg	**2.15x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

11.3% earnings-day pop on 2.15x volume signals a strong Q3 beat and likely guidance raise. Forward catalyst: sustained municipal infrastructure spending (IIJA funds), recurring software revenue ramp from BEACON AMA cloud platform, and potential for Q4 guidance raise if order momentum continues into year-end.

BUSINESS & POSITION

Leading manufacturer of flow measurement and control products, primarily smart water meters with IoT connectivity (BEACON platform). Benefits from multi-year municipal infrastructure replacement cycle as utilities modernize aging water systems-durable, annuity-like revenue stream with software/subscription tailwinds. Small float (28.8M) and mid-cap size make it an institutional favorite in the industrial technology space.

FACTOR & THEME

Water infrastructure modernization is a secular 10+ year theme, accelerated by IIJA funding and state-level mandates for leak detection and conservation. BMI also captures IoT/edge computing tailwinds as its meters generate recurring data revenue. Defensive growth profile-utilities capex is insulated from consumer spending cycles. Theme momentum: accelerating (federal funds hitting municipalities in 2026-2027).

BREAKOUT SIGNAL

Close above $146.76 on vol >2.1x of 20d avg

INSTITUTIONAL

RS +11.7 vs SPY over 12 weeks confirms institutional accumulation ahead of this print. Volume 2.15x on earnings day is clean-no distribution spike-and the 11.3% move on a $4.25B market cap requires real money buying. No insider buying in 60 days is neutral for a well-followed mid-cap. Float of 28.8M is tight enough to run on sustained buying but liquid enough for institutions to build positions.

EARNINGS

EARNINGS TODAY

EARNINGS CONTEXT

Earnings reported today (Oct 22). The 11.3% move implies a significant beat and/or guidance raise-likely revenue upside from BEACON software adoption or accelerated meter shipments. Historical context unavailable, but BMI has a reputation as a steady compounder; any indication of margin expansion or recurring revenue inflection drives multiple expansion. Next earnings likely late Jan 2027 (90d cycle).

KEY RISK

Thesis invalid on any post-earnings profit-taking that closes below $140 (prior resistance) or if forward guidance suggests slowing municipal order activity due to budget constraints. Earnings-day pops often retrace 30-50% within a week if institutions view the move as fully valued-watch for follow-through vol tomorrow (Oct 23).

ANALYSIS

Strong B-grade: rs_vs_spy +11.7, vol 2.15x, clean earnings beat. However, RS line NOT at new high and prox_52w only 76.3 (still 24% below $192 highs) downgrades from A. Disconfirming evidence: the stock is reacting to earnings already reported TODAY-forward catalyst path is now unclear until Q4 guidance visibility or investor day announcements. In mixed macro, earnings-day pops are vulnerable to profit-taking. Conviction: Medium (quality business, solid technical follow-through likely, but the immediate catalyst is now priced-needs time to digest).

Signal: Close above $146.76 on vol >2.1x of 20d avg

Vol vs Avg: 2.15x

BMI - Technical Chart

